



The Marginalists School

Econ 304

Hutchison's analysis of the reaction to politics, theory, and method

The marginalist revolution, which took place in the late 19th century, marked a fundamental shift in economic thinking. Marginalist economists, such as Alfred Marshall, Carl Menger, and Léon Walras, emphasized the importance of marginal utility and subjective value in determining prices and allocation of resources. This revolution challenged the classical labor theory of value and paved the way for neoclassical economics.

- The Marginalist Revolution, also known as the neoclassical revolution, marked a significant shift in economic thought that occurred in the late 19th and early 20th centuries. One influential analysis of this revolution was provided by economist Terence W. Hutchison in his book "The Significance and Basic Postulates of Economic Theory" (1938). Hutchison's analysis offers insights into the reactions to politics, theory, and method that characterized the Marginalist Revolution.
- Hutchinson's analysis likely draws from various political theories to frame reactions to politics. This could include classical theories like liberalism, conservatism, socialism, and anarchism, as well as contemporary theories such as feminism, post-colonialism, and critical theory. These theories provide frameworks for understanding political behavior, ideology, and power dynamics.

a. **Individualism vs. Collectivism:** Hutchison highlighted the transition from classical political economy, which often focused on collective or societal interests, to neoclassical economics, which emphasized individual decision-making and utility maximization. Neoclassical economists argued for the primacy of individual preferences and choices in determining economic outcomes, challenging the more collectivist perspectives of classical economists.

b. **Market Mechanism:** The Marginalist Revolution reinforced the belief in the efficiency of market mechanisms. Neoclassical economists such as Alfred Marshall and Leon Walras advocated for free markets, where prices are determined by supply and demand, and resources are allocated efficiently through voluntary exchange. This emphasis on market efficiency stood in contrast to earlier views that relied more heavily on government intervention or central planning.

c. **Role of the State:** While neoclassical economics generally supported laissez-faire policies, Hutchison noted that there were differing views among economists regarding the appropriate role of the state. Some economists, such as Vilfredo Pareto, argued for limited government intervention to correct market failures, while others, like Ludwig von Mises and Friedrich Hayek, advocated for minimal state involvement in economic affairs.

Reactions to Theory

- a. **Subjective Theory of Value:** The Marginalist Revolution introduced the subjective theory of value, which emphasized the role of individual preferences and marginal utility in determining the value of goods and services. This marked a departure from the labor theory of value, which was prevalent among classical economists. Hutchison emphasized how this shift in value theory led to a deeper understanding of consumer behavior and market dynamics.
- b. **Marginal Analysis:** Neoclassical economists introduced marginal analysis, which focused on examining the incremental changes in utility and cost associated with consuming or producing one additional unit of a good or service. This analytical framework allowed economists to better understand decision-making at the margin and to explain various economic phenomena, such as consumer choice, price determination, and resource allocation.

Reactions to Method:

- a. **Mathematization of Economics:** Hutchison highlighted the increasing use of mathematical and quantitative methods in economic analysis during the Marginalist Revolution. Economists such as William Stanley Jevons, Carl Menger, and Walras developed mathematical models to formalize their theories of value, exchange, and equilibrium. This mathematization of economics contributed to the development of modern microeconomic theory and facilitated more rigorous analysis of economic phenomena.
- b. **Analytical Rigor:** Neoclassical economists placed greater emphasis on analytical rigor and logical consistency in economic theory. They sought to develop axiomatic foundations for economic analysis and to derive theoretical results deductively from these foundational principles. This methodological approach aimed to make economic theory more precise and internally coherent.

The Jevons-Utilitarian theory

- The Jevons-Utilitarian theory is a concept that emerged within the framework of the marginal revolution, a significant development in economic thought that occurred in the late 19th century. This theory is named after two prominent figures: William Stanley Jevons, an English economist, and Jeremy Bentham, the founder of utilitarianism. While Bentham laid the groundwork for utilitarianism, Jevons extended its principles to economics, particularly in understanding consumer behavior and demand.
- Utilitarianism, as proposed by Bentham, is a normative ethical theory that suggests the best action is the one that maximizes utility, or happiness, for the greatest number of people. In economic terms, utility refers to the satisfaction or pleasure derived from consuming a good or service. According to utilitarianism, individuals seek to maximize their own utility, and society as a whole benefits when everyone's utility is maximized.

- Jevons integrated utilitarian principles into economic analysis, particularly in understanding how consumers make choices. He argued that consumers allocate their limited resources in a way that maximizes their total utility. However, what distinguishes Jevons' contribution within the context of the marginal revolution is his focus on marginal utility.
- Marginal utility refers to the additional satisfaction or utility gained from consuming one more unit of a good or service. Jevons, along with other economists of the marginalist school, such as Carl Menger and Léon Walras, emphasized the importance of marginal utility in determining consumer behavior and market prices. They argued that consumers make decisions at the margin, considering the additional benefit (or satisfaction) they derive from consuming one more unit of a good relative to its price.

The Jevons-Utilitarian theory can be understood in the following key points:

- **Utility Maximization:** Individuals seek to maximize their total utility from consuming goods and services. This aligns with the utilitarian principle of maximizing overall happiness.
- **Marginal Utility:** Consumers make decisions based on marginal utility. They will allocate their resources in a way that maximizes the marginal utility per unit of money spent. In other words, they will continue consuming goods until the marginal utility per dollar (or other currency) is equal across all goods.
- **Equilibrium:** In a competitive market, prices adjust to equate marginal utility with marginal cost (which equals price in a competitive market). At the point where marginal utility equals marginal cost (price), consumers are maximizing their utility given their budget constraint

- **Law of Diminishing Marginal Utility:** This law, also known as the law of diminishing returns, states that as a person consumes more of a good, the additional satisfaction (marginal utility) derived from each additional unit decreases. This explains why demand curves slope downwards – as the quantity consumed increases, the marginal utility decreases, leading consumers to be willing to pay less for each additional unit
- **Welfare Implications:** By analyzing consumer behavior through the lens of utility maximization, economists can make welfare judgments about the efficiency and equity of market outcomes. If resources are allocated efficiently, such that marginal utility equals marginal cost across all goods, then society is achieving allocative efficiency.

Menger – Subjectivism

The Mengerian Subjectivism, also known as the Austrian School of Economics, is a significant contribution to economic thought of the marginal revolution.

Carl Menger, along with William Stanley Jevons and Léon Walras, is considered one of the founding fathers of neoclassical economics.

Menger's emphasis on subjective value and the role of individuals in shaping economic phenomena laid the groundwork for a distinct approach to economic analysis.

- **Subjective Value:** At the core of Menger's theory is the notion of subjective value. Unlike the classical economists who focused on the objective properties of goods (such as labor inputs or production costs), Menger argued that value is not inherent in the goods themselves but is rather a subjective assessment made by individuals based on their preferences, needs, and circumstances. This idea revolutionized economic thought by shifting the focus from the intrinsic value of goods to the subjective evaluations of individuals.
- **Marginal Utility:** Menger, along with other marginalist economists, emphasized the importance of marginal utility in determining value. He argued that individuals make decisions based on the marginal utility, or the additional satisfaction, derived from consuming one more unit of a good. This contrasts with the classical labor theory of value, which held that the value of a good was determined by the amount of labor required to produce it. Menger's focus on marginal utility allowed for a more nuanced understanding of consumer behavior and market prices.

- **Spontaneous Order:** Menger also introduced the concept of spontaneous order, which suggests that complex social phenomena, such as market prices and institutions, emerge as a result of individuals pursuing their own self-interests in a decentralized manner. This idea highlights the unintended consequences of individual actions in shaping broader social and economic structures. Market prices, for example, emerge spontaneously as a result of the interactions between buyers and sellers seeking to maximize their utility or profit.
- **Methodological Individualism:** Menger's approach to economics is characterized by methodological individualism, which emphasizes the importance of studying economic phenomena from the perspective of individual human actors. By focusing on the actions, preferences, and choices of individuals, economists can better understand how markets work and how economic outcomes are determined.

- **Entrepreneurship:** Menger recognized the critical role of entrepreneurship in the market process. Entrepreneurs, he argued, play a crucial role in identifying opportunities for profit by anticipating changes in consumer preferences, technology, and market conditions. Through their actions, entrepreneurs drive innovation, allocate resources efficiently, and contribute to economic growth.
- **Unintended Consequences:** Menger's emphasis on subjective value and spontaneous order also underscores the idea of unintended consequences. Individual actions, even if motivated by self-interest, can lead to outcomes that were not initially intended or foreseen. For example, government interventions in markets, intended to correct perceived inefficiencies or redistribute wealth, can sometimes lead to unintended consequences such as market distortions, unintended incentives, or unintended distributional effects.

Walras – general equilibrium and Pareto

Léon Walras was a pioneering economist who made significant contributions to economic theory, particularly in the areas of general equilibrium and welfare economics. His work laid the foundation for modern general equilibrium theory and the concept of Pareto efficiency.

General Equilibrium Theory:

- Walras developed the concept of general equilibrium to analyze the interdependence of markets within an economy. General equilibrium refers to a state in which all markets are simultaneously in equilibrium, meaning that the quantities demanded equal the quantities supplied in every market. This occurs when there is no excess demand or excess supply in any market.
- Graphically, general equilibrium can be represented using a production possibility frontier (PPF) and an offer curve. The PPF illustrates the maximum combination of two goods that can be produced given the economy's resources and technology. The offer curve shows the various combinations of goods that an individual or firm is willing to supply at different relative prices.

In general equilibrium, the offer curve intersects the PPF at a point where the relative prices of goods are such that the quantities demanded equal the quantities supplied in all markets. This point represents an allocation of resources where there is no waste or inefficiency, as resources are fully utilized and allocated according to consumer preferences and production possibilities.

- Walras is most famous for his development of general equilibrium theory, which seeks to explain how prices are determined in markets for goods and services and how these prices lead to an allocation of resources that is both efficient and consistent with consumer preferences.
- **Market Clearing:** Walras posited that in a competitive market economy, prices adjust until supply equals demand in all markets simultaneously. This is known as the concept of market clearing, where there are no excess supplies or demands.

- **Walrasian Auctioneer:** To illustrate how prices adjust to achieve market equilibrium, Walras introduced the hypothetical concept of a "Walrasian auctioneer" who sets prices based on the total supply and demand for all goods in the economy. Prices are adjusted until all markets clear, ensuring that there are no surpluses or shortages.
- **Mathematical Formulation:** Walras developed a system of simultaneous equations, known as the Walrasian general equilibrium model, to describe the interactions between supply and demand in different markets. This model provided a mathematical framework for analyzing the conditions under which a general equilibrium exists and how it is achieved.
- General equilibrium theory has been instrumental in understanding the interdependence of markets and the conditions necessary for a competitive economy to reach an efficient allocation of resources.

Pareto Efficiency

- Pareto efficiency, named after the Italian economist Vilfredo Pareto, refers to a situation in which it is impossible to make one individual better off without making at least one other individual worse off. In other words, an allocation of resources is Pareto efficient if no one can be made better off without making someone else worse off.
- **Efficiency Criterion:** According to Pareto optimality, an allocation of resources is considered efficient if there are no possible changes that could make at least one person better off without making anyone else worse off.
- **Pareto Improvement:** A change from one allocation to another is called a Pareto improvement if it makes at least one individual better off without making anyone else worse off. An allocation is Pareto optimal if no further Pareto improvements are possible.
- **Pareto Frontier:** The set of all Pareto optimal allocations forms the Pareto frontier or Pareto efficiency frontier. Any point on this frontier represents an allocation where it is impossible to make one individual better off without making another worse off.

- Pareto optimality provides a benchmark for evaluating the efficiency of market outcomes and assessing the potential welfare gains from policy interventions. A Pareto improvement implies that resources can be reallocated in a way that makes at least one person better off without harming others, highlighting the potential for enhancing social welfare through policy changes.
- Graphically, Pareto efficiency can be represented using an Edgeworth box, which shows the distribution of goods between two individuals. The contract curve in the Edgeworth box represents all allocations of goods where neither individual can be made better off without making the other worse off.
- In a Pareto efficient allocation, the contract curve touches one of the individuals' indifference curves (representing their preferences) and is tangent to the other individual's indifference curve. This point of tangency represents an allocation where resources are allocated efficiently, as it is not possible to reallocate goods in a way that makes one individual better off without making the other worse off.

Connection between General Equilibrium and Pareto Efficiency

- Walras demonstrated that under certain conditions, a general equilibrium allocation is Pareto efficient. This is known as the First Welfare Theorem, which states that competitive markets, with certain assumptions such as perfect competition, no externalities, and complete information, will result in a Pareto efficient allocation of resources.
- The intuition behind this theorem is that in a competitive market equilibrium, prices adjust to equate supply and demand in all markets, leading to an allocation of resources where individual marginal rates of substitution (MRS) equal market prices. At this allocation, consumers' preferences are consistent with the prices they face, and resources are allocated efficiently according to consumer preferences.